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The Top Risks of 2017

By Fred Kempe and Mat Burrows



Dear Friend,

At the best of times, the first year of an untested US presidency is fraught with risk. Adversaries test limits, allies hedge bets, and newly installed cabinet members and their partially constructed national security teams wrestle with the rush of events.

What comes immediately to mind is the election of John F. Kennedy, who at age 43 was the youngest president in US history, and his rocky first year with the failed Bay of Pigs invasion of Cuba in April, a disastrous Vienna Summit with Soviet leader Nikita Khrushchev in June, and the Berlin Wall’s construction in August.

That all laid the groundwork for a potential nuclear war over the 1962 Cuban Missile Crisis.

The Obama-to-Trump transition will be at least as momentous with Europe and Russia also as the backdrop. If the Kennedy years, after this false start, ultimately signaled a segue to what historians now regard as a less dangerous phase of the Cold War, Trump’s coming to power may catapult us to a wholly different kind of world order.

The risk factors now are more numerous than during the Kennedy years, given the myriad nature of the world’s problems: rising Europe risk exacerbated by a revanchist Russia, growing Chinese economic risk and regional challenges under a more assertive Beijing leadership, and the Mideast’s multiple conflicts giving rise to the export of refugees and violent extremism. Add to all this new storm clouds in Africa and even Latin America.

A President-elect who prides himself on an unconventional and sometimes unpredictable style of leadership could help unstick problems but could also create new ones. Combine that with a heavy dose of allied uncertainty, and with dicey outcomes of upcoming French and German elections this year.

With all that as background, this week’s Inflection Points focuses squarely on “The Top Risks of 2017,” produced with the help of guest author **Mathew Burrows**, the director of the Atlantic Council’s Strategic Foresight Initiative and a man who for almost 30 years assessed risks and trends for the US intelligence community.

This outlook goes one step further, complementing short-term risks for the coming year with a more provocative, head-spinning set of potential risks through 2035.

As with all such exercises, our purpose here isn’t to lay out destiny but rather to raise warning flags for global leaders and policy makers — about dangers that in most cases can still be reduced or managed. This is also meant to be a starting point for a discussion and not the final word. We welcome your responses and alternative ideas: **[YOUR FEEDBACK](#)** →

We’ll flesh out these risk factors in greater detail over the coming days on the Atlantic Council website, and then we’ll track them on a quarterly basis to see how well we’re doing on avoiding the worst outcomes and achieving the best outcomes. For example, if Marine Le Pen loses French elections in the spring, Europe dodges one bullet — but the Merkel vote in the autumn poses a potentially larger risk.

The Atlantic Council for some years now has reflected on the nature of our historic moment, comparing to previous “inflection points” in history such as 1789, 1914-1919, 1945 and 1989. Considering the risks listed below, it’s hard to argue that we aren’t facing just such a defining moment in history again now.

Studying and warning about risks is more than a New Year ritual at the Atlantic Council. In order to help the next US administration look over the horizon, we published this past September a fuller analysis: **Global Risks 2035: The Search for a New Normal**. Our hope is that we all can get more adept at anticipating and preventing risks. The world is certainly increasingly dangerous but beyond those dangers lie endless opportunities for a better world if the risks are mitigated.

TOP 10: RISKS 2017

#1

THE TRUMP TRANSITION

A crisis badly handled in the early days could weaken Trump and the US hand for years afterward. Any number of crises are just waiting to happen. For example, further North Korean nuclear testing or missile launches are becoming routine, but a North Korea that initiates a conventional military provocation against Seoul and threatens to use nuclear weapons would be a test of the next administration’s ability to defuse a highly combustible and consequential crisis. President-elect Trump has made it harder for himself by alienating the US Intelligence Community even before he assumes office.

#2

AN IMPLODING EUROPE

If Marine le Pen wins the French Presidency in April, it’s hard to see how the EU survives. A Wilders victory in the Netherlands in March would rock the European Project even without a Le Pen victory but not lead to its breakup. Though less likely, a Merkel defeat in Germany’s autumn elections — and she’s already in Putin’s crosshairs — could dramatically increase Europe’s instability. In any event, Brexit will soon be all consuming for Brussels.

#3

AN EMBOLDENED RUSSIA

President-elect Trump envisions a breakthrough in US-Russia relations that could reduce risks, but there’s a danger that Putin could be invigorated by too great a US play for better ties and escalate the conflict in Ukraine, or create provocations elsewhere in the Balkans or Kazakhstan. A hybrid war move on a NATO Baltic state could be the sleeper risk of the year, testing how Trump’s America understands its alliance commitments.

#4

US INFLUENCE COLLAPSES IN ASIA

Trump has already offended the US’s traditional allies by saying he will abrogate US participation in TPP as one of his first acts of state. Meanwhile, tensions with China are escalating over Taiwan and possible US trade restrictions. If Trump doesn’t demonstrate he has a strategy for US engagement in Asia, China will fill the vacuum.

#5

A NEW LOW IN THE MIDDLE EAST

A political-military triumph for a corrupt Assad regime could leave it presiding uneasily, incompetently, and brutally over all or a significant part of a destitute country — making it a breeding ground for terrorists, insurgents, and fleeing refugees. Iranian and Russian influence would hold sway from Tehran to Beirut. Ironically, any US attempts to re-negotiate the Iranian nuclear agreement could bolster Iranian hardliners.

#6

ESCALATING AFRICAN CONFLICTS

As with the 1998-2003 Second Congo War, a worsening DRC political conflict could draw in other African states and armed groups and result in huge casualties. Further north, the South Sudan civil conflict after three years has the potential to turn into a full-scale genocide. New migrant waves could further unsettle Europe.

#7

INSTABILITY RETURNS IN LATIN AMERICA

Handled clumsily, the US-Mexico relationship could spin out of control if the US insists on tearing up NAFTA, building a wall, and deporting millions. Mexico would retaliate with stopping joint cooperation on narcotics. Elsewhere the political crisis in Brazil has yet to run its course, and Venezuela seems destined to be on the brink of chaos and disaster for years.

#8

LIBERAL VALUES RETREAT

Free trade and democratic rule are likely to be dealt further blows in 2017, but a full scale US-China trade war would end globalization for the foreseeable future, fracturing the global order. A populist-run Europe could validate the spread of illiberal democracies elsewhere.

#9

A LEADERLESS WORLD

Most incoming US presidents want to cut back on US commitments abroad, but never figure out a way. Trump may be different because he’s set on taking a business-like approach to make only commitments that pay. By avoiding costly engagements, however, he may at the same time leave a leadership vacuum on issues that have required US and Western leadership: climate change, state failure, proliferation, and terrorism.

#10

A MAJOR PANDEMIC FINALLY HAPPENS

Scientists have been warning for some time that the world is overdue for a severe pandemic. A pathogen that is easily transmissible could result in millions dying in a very short span. In the panic that ensues, economies would also suffer major setbacks as international and local transportation is halted.

TOP 10: RISKS 2035

#1

SPHERES OF INFLUENCE ARE THE NEW WORLD ORDER

US power has receded and turned inward. No one is in charge of organizing coalitions to solve the big global challenges. A medieval-type arrangement has emerged, consisting of numerous power centers, some of which are not states and don’t necessarily have an incentive to cooperate.

#2

FAILING BIG STATES

Big states begin to fail due to increased climate change impacts, slower global growth, and increased populations. The failed states are no longer the ones nobody cares about: They are the big ones like Pakistan or Nigeria or Egypt.

#3***CONFLICT IS WAY UP***

US, Russia, and China routinely sponsor proxy wars. Tactical nukes, robots, cyber and, artificial intelligence are the weapons of choice.

#4***AGING WESTERN SOCIETIES BANKRUPT STATES***

Chronic diseases, particularly cancers, diabetes, and heart diseases have been conquered. Life expectancy is in the 90s for people in wealthier countries, pushing up pension and healthcare costs to unsupportable levels and forcing governments to cut way back on education, R & D, and defense.

#5***A “HUMAN” UNDERCLASS GROWS***

Many unemployed are highly educated, but have lost their jobs to new technologies. Cybercrime is the popular option for the young and out-of-work.

#6***GENETIC RIVALRY***

Designer babies are the norm in China and becoming popular elsewhere, prompting the US and other Western governments to give parents guidelines on how to have “better” babies.

#7***A BALKANIZED INTERNET***

US and European countries as well as China and Russia have built firewalls, preventing the free flow of information. Scientific exchanges are down. The internet mirrors the growing spheres of influence.

#8***ALTERNATIVE ENERGIES HAVE REPLACED FOSSIL FUELS***

Alternative energies have replaced fossil fuels with the startling advances in battery storage. Vehicles are all electric and power is generated by alternative energies. The transition was very fast. Oil-producing nations and companies were caught off guard and are paying a steep price.

#9***THE NUMBER OF NUCLEAR POWERS HAS EXPLODED***

In the Middle East, Iran decided to break out and develop nuclear weapons at the end of the 10-year agreement. Consequently, Saudi Arabia and Turkey also started developing nuclear weapons. In East Asia, the US pullback spurred Japan and South Korea to quickly become nuclear powers.

#10***ROBOTS ARE THE NEW WEAPON OF CHOICE FOR TERRORISTS***

Suicide human bombers are out; suicide robots are in. Nonstate actors rival states in their use of cyber to disable major infrastructure.

Until next week. Then with a special Inflection Points dispatch from Abu Dhabi where the Atlantic Council is hosting the Global Energy Forum. **LEARN MORE** →

Onward and upward,

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